MERIDIAN PAYMENTS

Annual Report **2025**

Settling the everyday, at scale

Strategic report · Governance · Financial statements

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2025 AT A GLANCE

A year of steady, compounding growth

€1,284.6m
Revenue
+17.1% on 2024

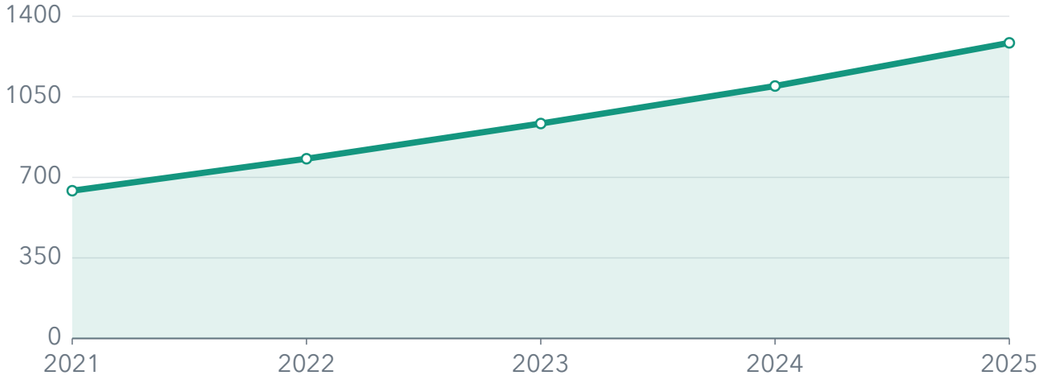
€268.2m
Operating profit
20.9% margin

€276bn
Total payment volume
+26.0%

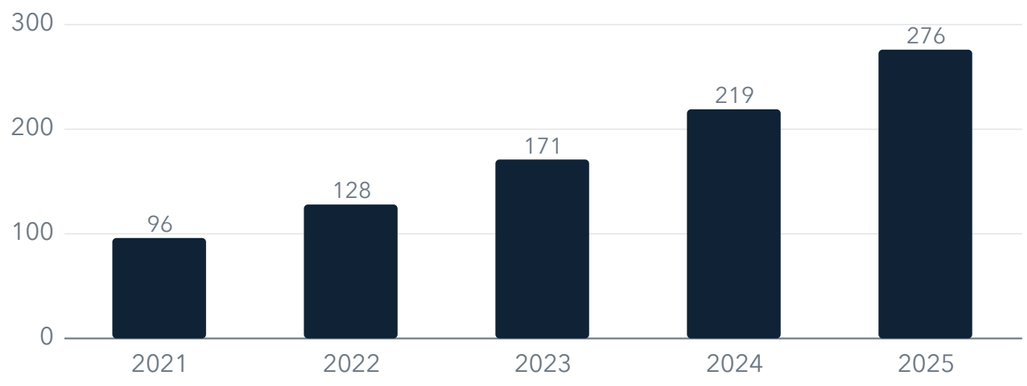
7.9bn
Transactions settled
+23.4%

99.995%
Settlement availability
26 min unplanned

3,420
Colleagues
in 14 countries



Revenue, €m, 2021–2025



Total payment volume, €bn

LETTER FROM THE CHAIR

Trust is built one settlement at a time

This was the year in which Meridian stopped being described as a challenger. When a platform settles almost eight billion transactions, for merchants who range from single market stalls to national transport networks, it is no longer an alternative to the infrastructure — it is the infrastructure. That changes what our shareholders, our customers and our regulators should expect of us, and it changes what we should expect of ourselves.

The Board spent much of the year on a single question: what does it mean to be dependable at this scale? Part of the answer is in the numbers you will find in this report. Revenue grew by 17% and operating profit by 25%, and we did not trade resilience for either. Settlement availability was 99.995%, and the twenty-six minutes of unplanned disruption we did experience are described, without varnish, in Chapter 2.

But dependability is not only an engineering property. It is also how we treat the people whose money passes through our systems. During the year we simplified our merchant fee schedule from forty-one line items to nine, published the methodology behind our risk holds, and committed to explain every account restriction in plain language within one business day. None of these changes added revenue. All of them, we believe, will add years to our customer relationships.

We also asked more of our own governance. Two new independent directors joined the Board, bringing deep experience in operational resilience and in consumer protection. The Risk Committee now receives a quarterly review of settlement incidents directly from the engineers who handled them, not a summary prepared on their behalf. It is a small change in process and a large change in what the Board actually knows.

The economic environment remained uneven. Consumer spending held up better than many forecasts, but merchant margins in hospitality and small retail were squeezed by energy and labour costs. We felt this in slower growth among our smallest merchants in the first half, and we responded by extending our instant-payout programme to every merchant with more than six months of history, at no additional charge.

Looking ahead, the Board has endorsed a strategy that is deliberately unglamorous. We will deepen the network we have rather than chase every adjacent market; we will invest ahead of demand in capacity and resilience; and we will keep our pricing simple enough to fit on one page. We believe this is how a payments company earns the right to grow for decades rather than quarters.

The Board recommends a final dividend of 13.0 cents per share, bringing the total for the year to 21.7 cents, an increase of 24%. This remains a modest share of earnings, consistent with our policy of funding growth from our own cash generation.

On behalf of the Board, I thank our colleagues for a year of extraordinary steadiness, our customers for their confidence, and our shareholders for their patience with a strategy that values the long run.



Annelise Varga-Thorne
Chair of the Board

Building for the next billion settlements

In 2025 Meridian processed €276 billion of payments, a little over €8,700 every second of the year. Behind each of those euros is a merchant who needs to know, with certainty, when the money will arrive. Our job is to make that certainty boring.

Three things went well. First, our network grew faster than our costs: transaction volume rose by 23% while technology and infrastructure expense rose by 14%, because the settlement engine we rebuilt in 2023 is now carrying almost all of our traffic. Second, our merchant base broadened. Small and medium businesses now account for 38% of revenue, up from 33%, and their retention improved for the third consecutive year. Third, we kept our promises on resilience, including during the busiest week in our history in December.

One thing did not go as well as we wanted. Our launch in two new markets took longer than planned, largely because local licensing took longer than we assumed. We would rather be late and right than early and fragile, but we have learned to plan with more humility, and we have changed how we budget for regulatory timelines.

In 2026 our priorities are straightforward: complete the migration of the remaining legacy settlement flows, open our third data region, and make instant payouts the default rather than the exception. We will report against each of these in next year's review.

Tomas Okafor-Lind
Chief Executive Officer

+23.4%
Transaction growth

+14.2%
Technology cost growth

38%
Revenue from SMEs

94.1%
Merchant retention

OUR STRATEGY

Four commitments, one direction

01

Depth

Deepen the network we have

More volume per merchant, more merchants per market. Expansion only where we can be a top-three provider within five years.

02

Resilience

Invest ahead of demand

Capacity headroom of at least 3× peak, three independent data regions, and incident reviews owned by engineers.

03

Simplicity

Pricing that fits on a page

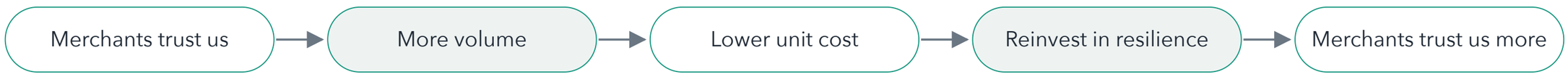
Nine fee lines, published risk methodology, plain-language explanations within one business day.

04

Cash

Fund growth ourselves

Self-funded investment, a progressive dividend, and a balance sheet that can absorb a hard year.



The flywheel we are building: each turn makes the next one cheaper.

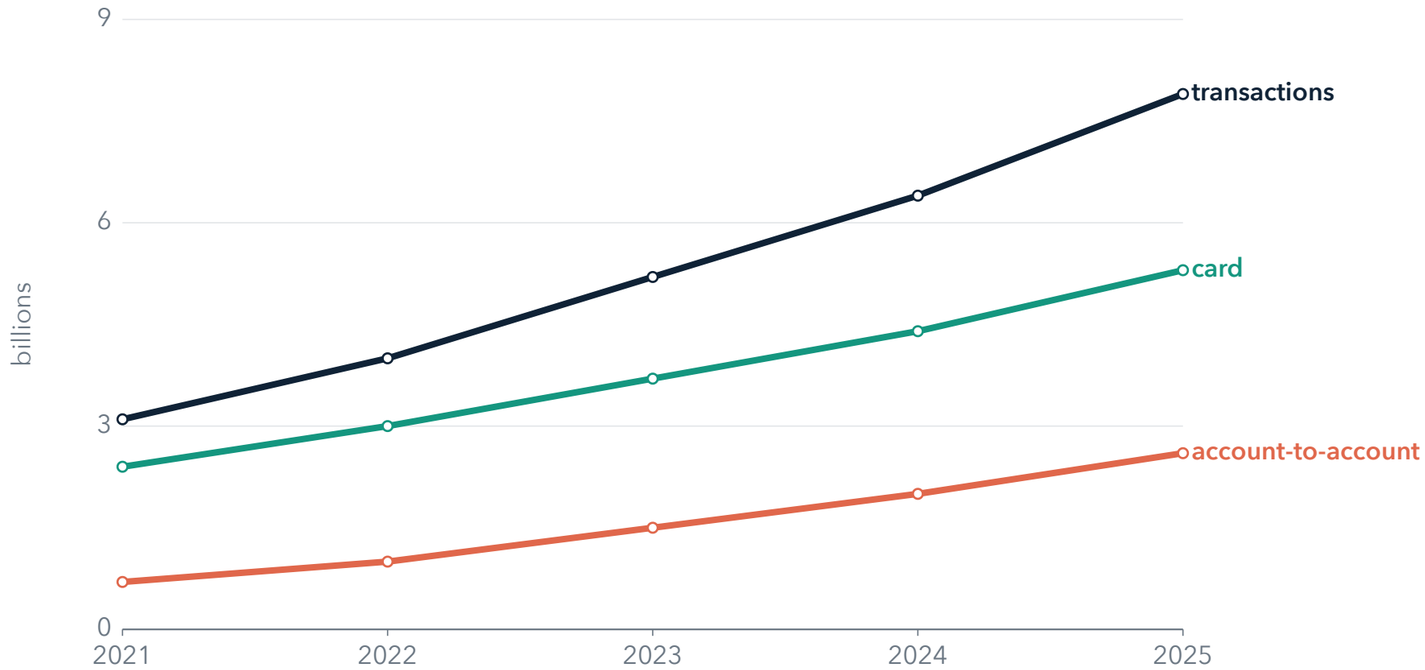
01

Financial performance

Revenue grew 17% and operating profit 25%, with growth balanced across every segment and every region we serve.

PERFORMANCE

Volume, transactions and revenue



Transactions settled by rail, billions

Transaction growth was led by account-to-account payments, which grew by 30% and now make up a third of all settlements. These payments carry lower fees than card transactions but also lower cost, and they are the fastest-growing rail in every market we serve.

Card volumes grew by 20%, helped by the full-year effect of three large transport operators who joined in late 2024. Average transaction value fell slightly, from €35.10 to €34.90, as more everyday purchases moved to digital payment.

PERFORMANCE

Revenue by segment



- Enterprise **38.0%**
- Small & medium **31.0%**
- Platforms **21.1%**
- Value-added services **9.9%**

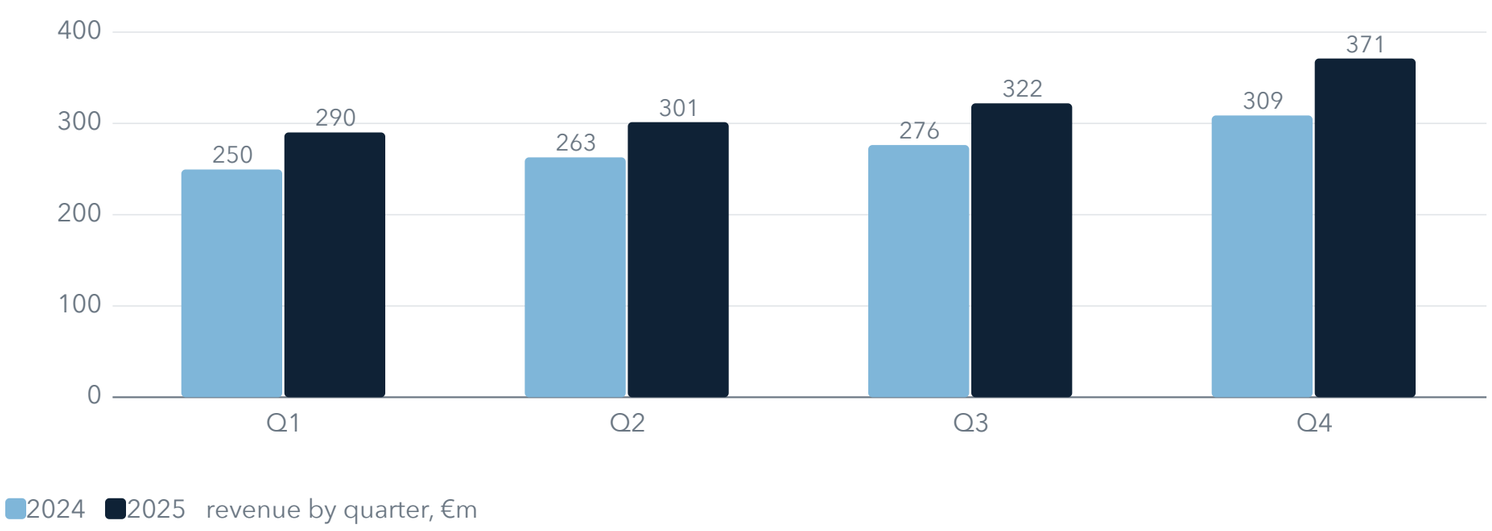
€ MILLION	2025	2024	CHANGE
Enterprise	488.1	438.9	+11.2%
Small & medium	397.6	329.2	+20.8%
Platforms	271.4	224.9	+20.7%
Value-added services	127.5	104.3	+22.2%
Total revenue	**1,284.6**	**1,097.3**	**+17.1%**

Small and medium merchants were again our fastest-growing major segment, reflecting both new merchant acquisition and higher volume per merchant. Value-added services — chiefly instant payouts, currency conversion and reconciliation tools — grew fastest of all, though from a smaller base.

PERFORMANCE

Quarterly results

€ MILLION	Q1	Q2	Q3	Q4	FULL YEAR
Revenue	290.1	301.4	322.0	371.1	1,284.6
Gross profit	196.8	204.5	218.6	251.9	871.8
Operating expenses	(135.8)	(140.6)	(151.1)	(176.1)	(603.6)
Operating profit	**61.0**	**63.9**	**67.5**	**75.8**	**268.2**
Operating margin	21.0%	21.2%	21.0%	20.4%	20.9%
Transactions (bn)	1.78	1.89	1.99	2.24	7.90
Payment volume (€bn)	62.4	66.1	69.8	77.7	276.0



The fourth quarter is seasonally our strongest, carrying the year-end retail peak. Margin dipped slightly in Q4 as we brought forward hiring for the third data region.

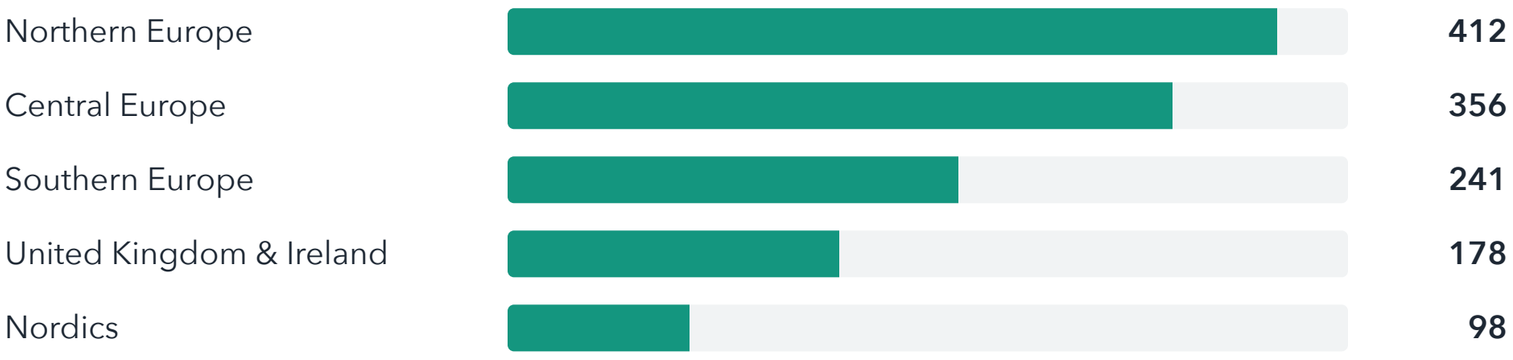
“

We grew faster than our costs because we rebuilt the engine before we needed it, not after.

Tomas Okafor-Lind, Chief Executive Officer

PERFORMANCE

Revenue by region



Revenue by region, €m (rounded)

All five regions grew by more than 10%. Southern Europe grew fastest, at 26%, as our partnership with a regional grocery cooperative moved from pilot to full rollout across more than four thousand stores.

The Nordics remain our smallest region but our most profitable per transaction, owing to high account-to-account adoption and very low fraud rates.

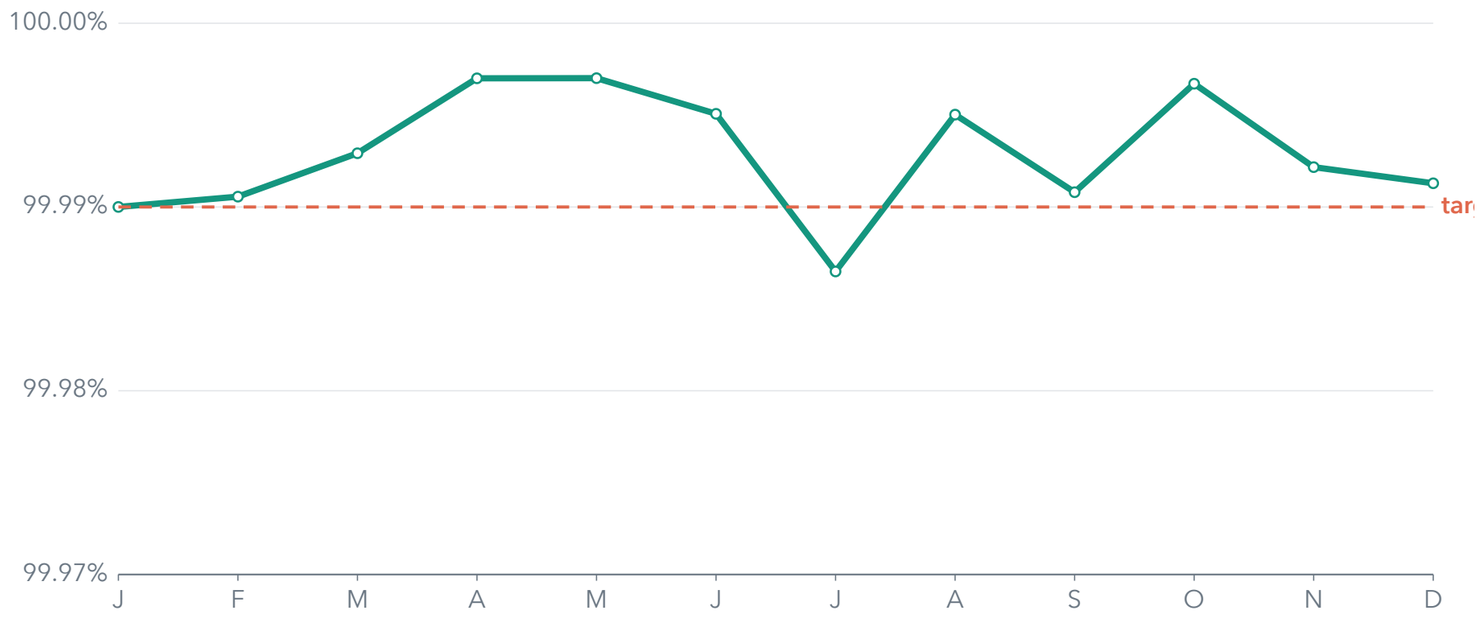
02

Network & operations

99.995% availability, a rebuilt settlement engine carrying 96% of traffic, and an honest account of the twenty-six minutes that went wrong.

NETWORK

Availability, month by month



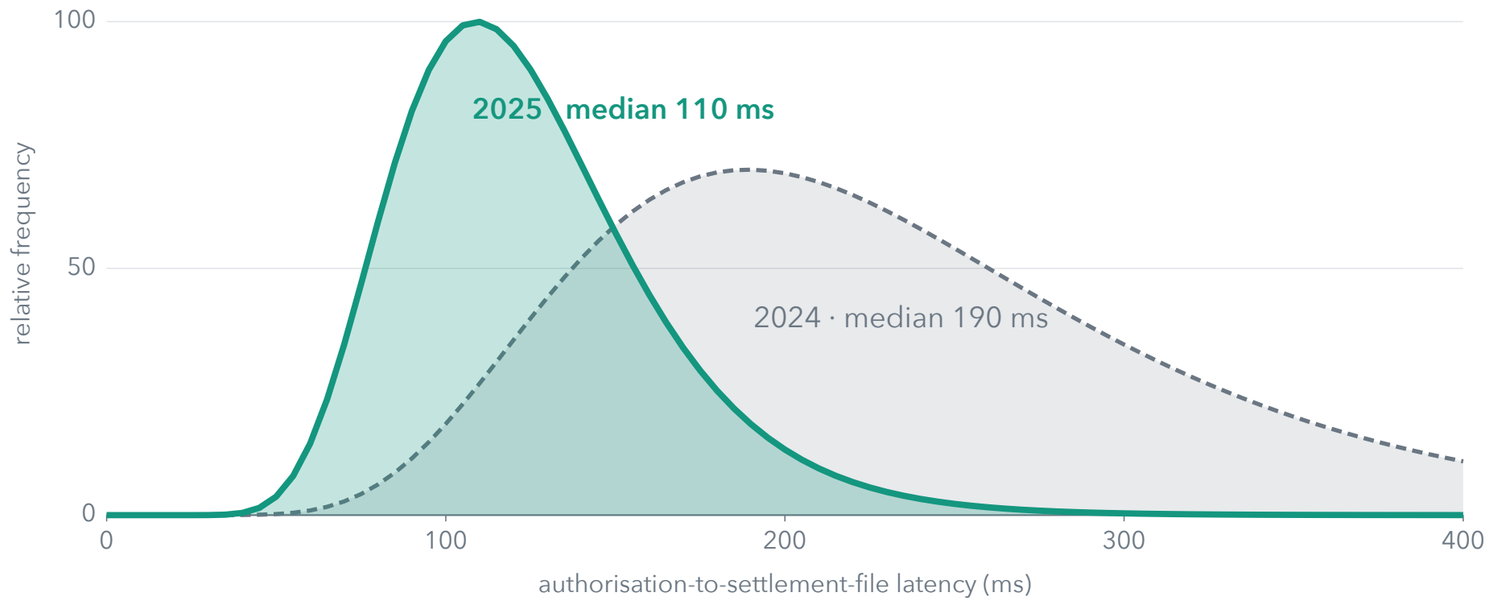
Monthly settlement availability

Availability exceeded our 99.99% target in eleven of twelve months. July fell short because of a single incident on 14 July, in which a configuration change to a load balancer in one region caused 19 minutes of elevated settlement failures before it was rolled back.

No funds were lost or misdirected. Every affected payment was settled automatically within four hours, and affected merchants received a written explanation within one business day.

NETWORK

Faster settlement, narrower spread



110 ms

Median latency
from 190 ms

288 ms

99th percentile
from 640 ms

The rebuilt engine now carries 96% of settlement traffic. The remaining flows — mostly legacy batch files from older acquiring partners — will migrate in 2026.

NETWORK

Incidents in 2025

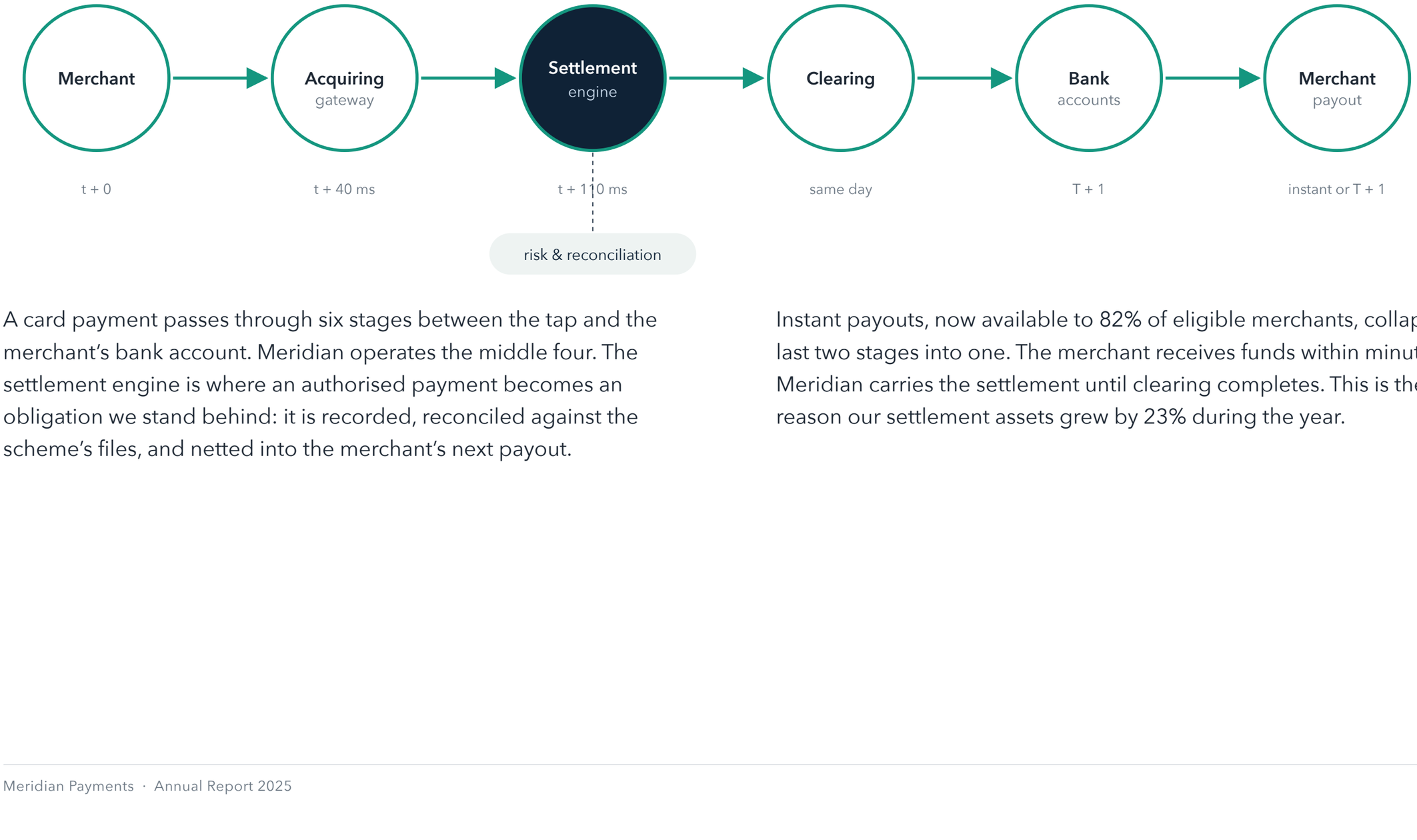
DATE	DURATION	REGION	CAUSE	CUSTOMER IMPACT	FOLLOW-UP ACTIONS
14 Jul	19 min	West	Load-balancer configuration change	Elevated failures, auto-retried	Staged config rollout; canary gate
02 Mar	4 min	Central	Certificate rotation overlap	Delayed confirmations	Rotation now automated end to end
21 Sep	2 min	North	Database failover	Brief read-only window	Failover drill frequency doubled
08 Nov	1 min	West	Upstream network provider	Delayed confirmations	Second provider added
Total	**26 min**			**No funds lost**	**All actions complete**

We publish every incident that affects settlement for more than sixty seconds, together with its cause and what we changed afterwards. We do this because a payments network is only as trustworthy as its account of its own failures.

The common thread in 2025 was change management: three of the four incidents followed a deliberate change. Every configuration change now passes through a staged rollout with an automatic canary check, and changes to shared networking require two approvals.

NETWORK

How a payment settles



A card payment passes through six stages between the tap and the merchant's bank account. Meridian operates the middle four. The settlement engine is where an authorised payment becomes an obligation we stand behind: it is recorded, reconciled against the scheme's files, and netted into the merchant's next payout.

Instant payouts, now available to 82% of eligible merchants, collapse the last two stages into one. The merchant receives funds within minutes, and Meridian carries the settlement until clearing completes. This is the main reason our settlement assets grew by 23% during the year.

“

An incident report that blames nobody and changes nothing is a press release. Ours have owners and deadlines.

Hanne Solberg-Rao, Chief Technology Officer

03

Customers & markets

More than 410,000 merchants in eleven markets, from single-stall traders to national transport networks.

CUSTOMERS

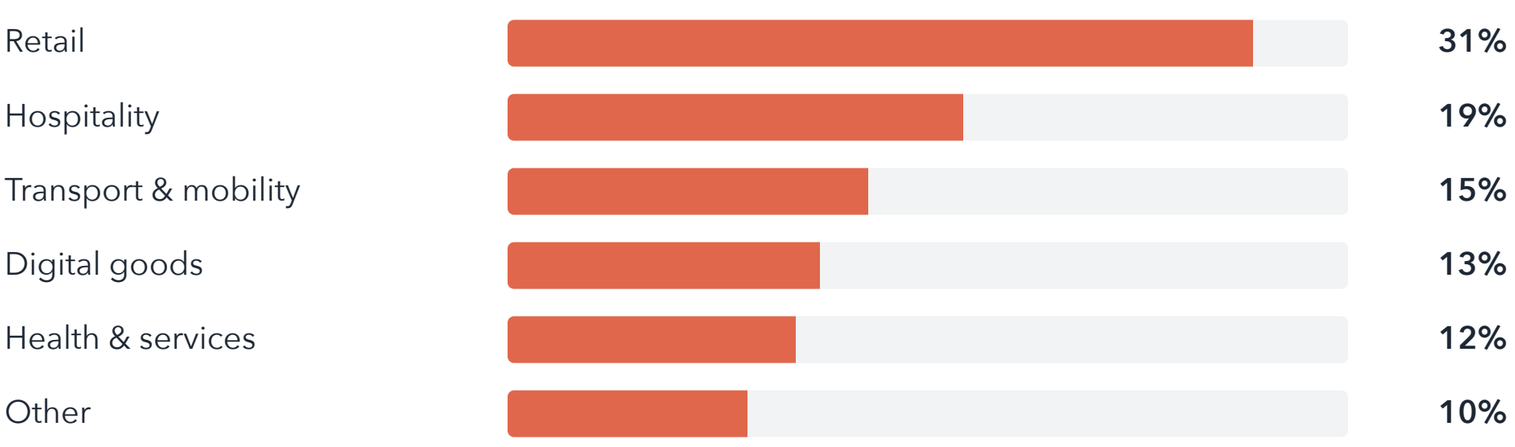
Who we serve

412,800
Active merchants
+14.6%

94.1%
Annual retention
+1.3 pts

+48
Net promoter score
+6

11
Markets
2 opened in 2025



Share of payment volume by merchant sector

Retail remains our largest sector, but transport and mobility grew fastest after three regional operators moved their ticketing to Meridian. These customers process many small, time-sensitive payments, and they chose us for latency and availability rather than price.

CUSTOMERS

Market by market

MARKET	MERCHANTS	VOLUME €BN	GROWTH	SHARE OF A2A	STATUS
Market A	98,400	71.2	+19%	41%	Mature
Market B	81,900	58.6	+22%	28%	Mature
Market C	64,300	44.9	+31%	36%	Growing
Market D	52,700	33.0	+27%	19%	Growing
Market E	38,200	24.1	+24%	52%	Growing
Market F	29,800	17.3	+35%	33%	Growing
Market G	21,600	12.4	+41%	22%	Growing
Market H	14,900	8.2	+38%	47%	Early
Market I	8,100	4.6	+60%	25%	Early
Market J	2,200	1.3	new	30%	Launched 2025
Market K	800	0.4	new	58%	Launched 2025
Total	**412,800**	**276.0**	**+26%**	**33%**	

Markets are shown anonymised by size for this illustrative report.

CASE STUDY

A grocery cooperative goes instant

When a regional grocery cooperative with more than four thousand member stores asked us to pilot instant payouts, the question was not whether the technology worked. It was whether small store owners would trust money that arrived in minutes rather than days — and whether they would change how they ran their businesses as a result.

They did. Within three months of the full rollout, member stores were paying their own suppliers an average of 2.4 days sooner, and the cooperative renegotiated payment terms with two of its largest wholesalers on the strength of it. Store owners told us that the biggest change was not the speed itself but the predictability: they could plan the week knowing exactly what would be in the account each morning.

For Meridian, the cooperative is now one of our largest customers in Southern Europe, and its stores generate more volume per terminal than our regional average. We have since offered the same programme to four other cooperatives.

4,180
Stores live

2.4 days
Faster supplier payments

11 min
Median payout time

CASE STUDY

Ticketing that never stops

1.1 bn
Taps per year

38 ms
Median authorisation

0
Fare-gate outages

A city transit operator runs twelve hundred fare gates that must open in under half a second, every time, whether the network is busy or not. A failed tap at rush hour is not a lost sale; it is a queue on a staircase.

We built a dedicated authorisation path for transit that makes the gate decision locally and settles the fare afterwards, aggregating each traveller's journeys into a single daily charge. The approach is common in transit; what was new was doing it on the same settlement engine as the rest of our traffic, so the operator's reconciliation runs alongside its retail concessions in one place.

In its first full year the operator recorded no fare-gate outages attributable to payments, and the share of journeys paid by contactless card or phone rose from 46% to 71%.

“

Our store owners stopped asking when the money would arrive. That was the whole point.

Operations director, grocery cooperative (case study)

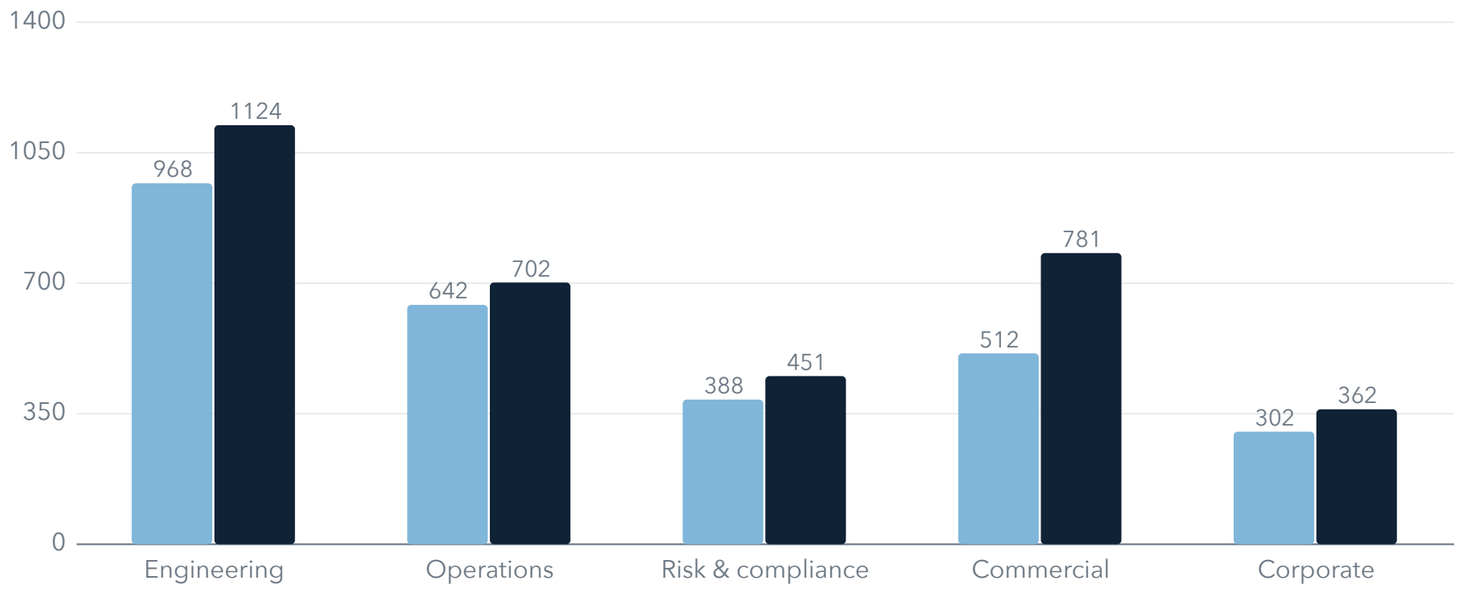
04

People

3,420 colleagues in fourteen countries, a third of them engineers, and the lowest voluntary turnover in our history.

PEOPLE

Growing the team deliberately



2024 2025 colleagues by function

Headcount grew by 14%, below revenue growth, with most new roles in engineering and commercial teams. Voluntary turnover fell to 7.8%, the lowest since we began measuring it.

We hired 41% of new engineers from outside the capital cities where we have offices, through our distributed-work programme.

PEOPLE

Workforce in numbers

	2025	2024	2023
Colleagues (year end)	3,420	3,000	2,610
Women in workforce	43%	41%	39%
Women in senior leadership	38%	34%	29%
Voluntary turnover	7.8%	9.6%	11.2%
Engagement score	81	78	76
Training hours per colleague	46	39	31
Internal promotions	412	355	290
Median gender pay gap	6.2%	8.1%	10.4%

Our gender pay gap narrowed for the third year running, mainly because more women now hold senior engineering roles. We publish the methodology alongside the figure, and we will continue to report it until it is closed.

Every colleague has a personal learning budget and four protected learning days a year. Average training hours rose by 18%, and the most popular course was, again, the internal incident-review workshop.

“

The best thing about working here is that when something breaks, the question is “what did we learn?”, never “who did it?”

Site reliability engineer, engagement survey comment

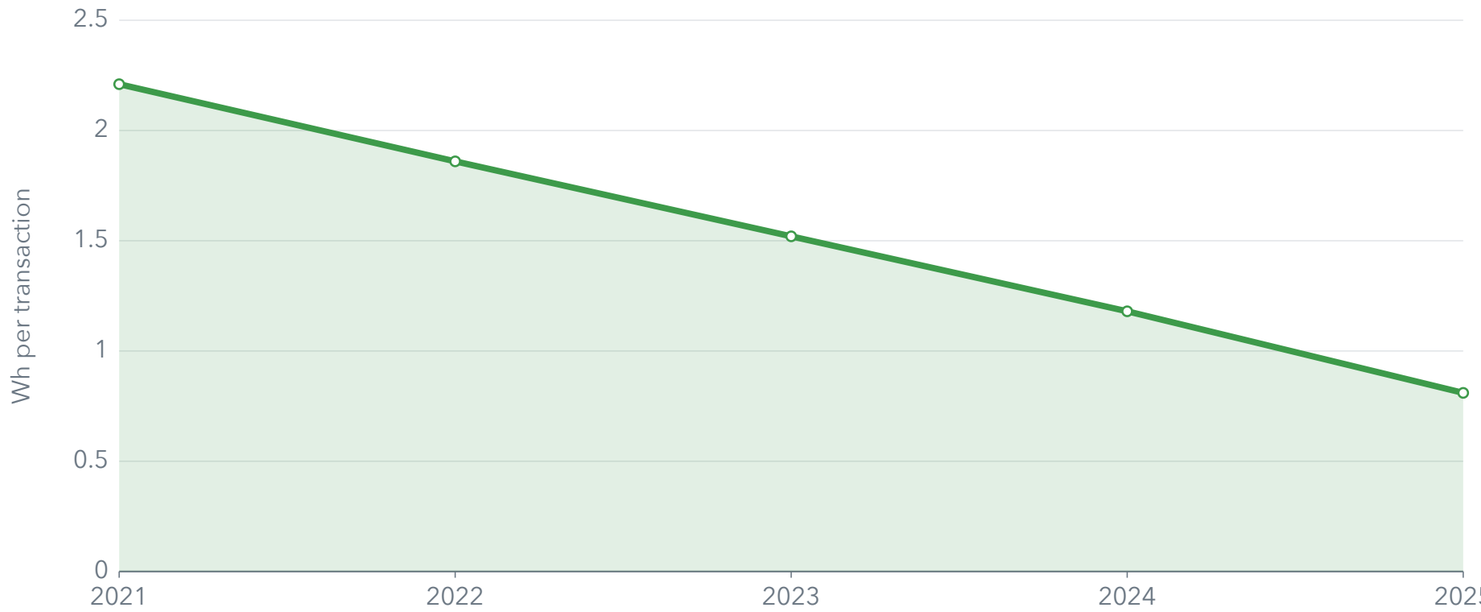
05

Sustainability

Energy per transaction down 31%, all data centres on renewable contracts, and a credible path to net zero by 2035.

SUSTAINABILITY

Energy per transaction



0.81 Wh

Per transaction

–31% on 2024

100%

Renewable electricity contracts

Most of the improvement came from the rebuilt settlement engine, which needs fewer servers per transaction, and from retiring two older data halls.

SUSTAINABILITY

Emissions

TONNES CO_2E	2025	2024	CHANGE	BASELINE 2021
Scope 1 (direct)	212	238	−11%	402
Scope 2 (market-based)	96	1,140	−92%	3,910
Scope 3 — purchased goods	14,800	15,900	−7%	17,200
Scope 3 — business travel	2,140	2,380	−10%	1,020
Scope 3 — terminals & devices	9,620	9,110	+6%	6,840
Total	**26,868**	**28,768**	**−7%**	**29,372**

Scope 2 emissions fell sharply as our final data-centre contract moved to renewable supply. Scope 3 is now 99% of our footprint, and the largest controllable part of it is the manufacture of payment terminals we supply to merchants.

In 2026 we will launch a terminal refurbishment programme, aiming to put one in three returned terminals back into service. We expect this to reduce terminal-related emissions by about a fifth by 2028.

SUSTAINABILITY

Progress against 2030 targets



Bars show progress toward each target. Business travel is above its 2021 baseline, which was depressed; we have set a new per-colleague travel budget for 2026.

06

Governance & risk

A Board with a clear majority of independent directors, and a risk framework built around what could actually stop settlement.

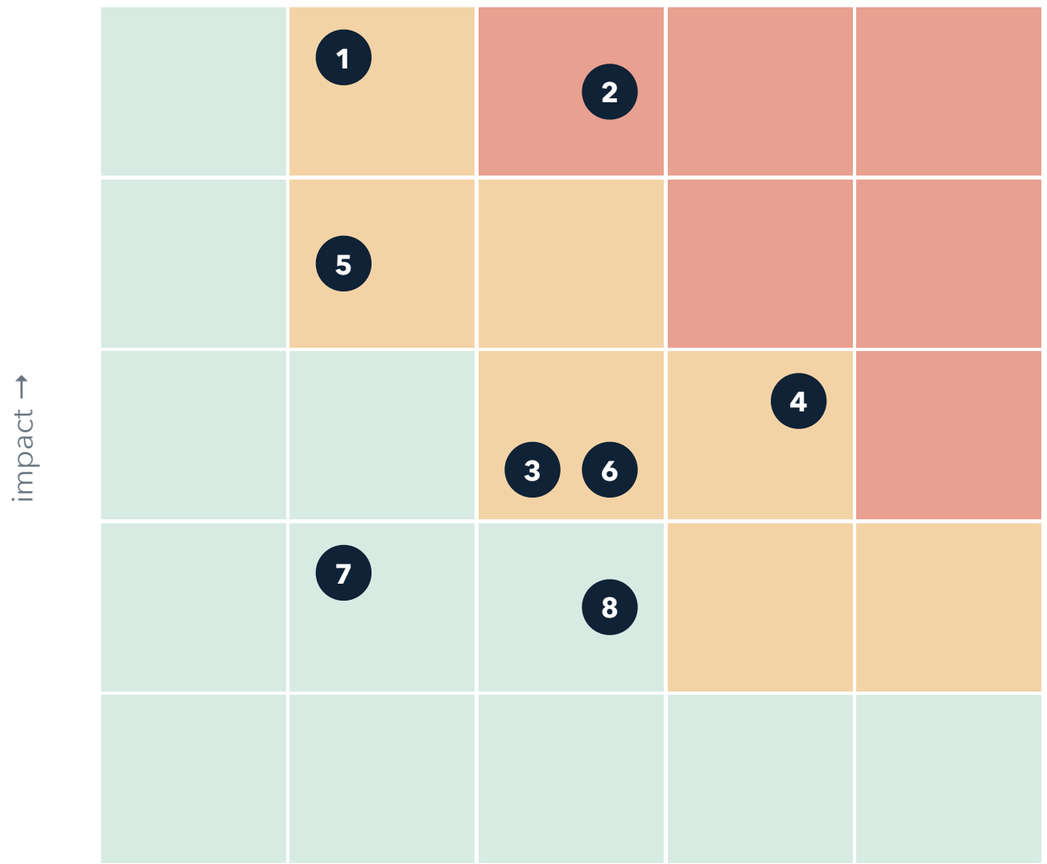
GOVERNANCE

The Board

DIRECTOR	ROLE	INDEPENDENT	COMMITTEES	ATTENDANCE
A. Varga-Thorne	Chair	On appointment	Nomination (chair)	10/10
T. Okafor-Lind	Chief Executive	–	–	10/10
M. Delacroix-Hale	Chief Financial Officer	–	–	10/10
R. Eskildsen	Senior Independent Director	Yes	Audit, Remuneration	10/10
S. Ibarra-Novak	Non-executive	Yes	Risk (chair), Audit	9/10
K. Achterberg	Non-executive	Yes	Audit (chair)	10/10
L. Moreau-Asante	Non-executive	Yes	Remuneration (chair)	10/10
P. Halvorsen	Non-executive (from April)	Yes	Risk	7/7
D. Kestrel-Ward	Non-executive (from April)	Yes	Risk, Nomination	7/7

Seven of nine directors are independent non-executives. All names are fictional.

Principal risks



1. Settlement outage
2. Cyber intrusion
3. Fraud losses
4. Regulatory change
5. Key supplier failure
6. Credit (instant payouts)
7. Talent retention
8. Macroeconomic slowdown

Risks are plotted after mitigation. A settlement outage remains our highest-impact risk; its likelihood is low because of the three-region architecture, but we treat it as the risk that defines the company.

RISK

How we manage the principal risks

RISK	WHAT COULD HAPPEN	HOW WE MITIGATE IT	TREND
Settlement outage	Merchants cannot be paid on time	Three independent regions; quarterly failover drills; staged changes	Stable
Cyber intrusion	Data or funds compromised	Zero-trust network; external red team twice a year; hardware keys for all staff	Rising
Fraud losses	Losses from fraudulent transactions	Real-time scoring; merchant risk holds with published criteria	Stable
Regulatory change	New rules raise cost or limit products	Early engagement with regulators; dedicated policy team	Rising
Key supplier failure	A critical vendor stops service	Dual suppliers for networking and hosting; exit plans tested	Falling
Credit (instant payouts)	Merchant fails before settlement completes	Exposure limits per merchant; daily monitoring	Rising

07

Financial statements

Consolidated statements for the year ended 31 December 2025, in millions of euros unless stated otherwise.

FINANCIAL STATEMENTS

Consolidated income statement

€ MILLION	NOTE	2025	2024
Revenue	1	1,284.6	1,097.3
Cost of revenue	2	(412.8)	(365.1)
Gross profit		**871.8**	**732.2**
Personnel expenses	3	(338.4)	(295.6)
Technology and infrastructure	3	(142.7)	(124.9)
Marketing		(54.9)	(48.3)
Other administrative expenses	4	(67.6)	(49.2)
Operating profit		**268.2**	**214.2**
Net finance income	5	21.4	12.8
Profit before tax		**289.6**	**227.0**
Income tax expense	6	(69.5)	(54.5)
Profit for the year		**220.1**	**172.5**
Basic earnings per share (cents)	7	183.4	143.8

Consolidated balance sheet at 31 December

€ MILLION	2025	2024
Non-current assets		
Intangible assets	214.3	188.0
Property, plant and equipment	96.5	81.2
Right-of-use assets	41.8	44.9
Deferred tax assets	12.6	10.4
	365.2	**324.5**
Current assets		
Trade and other receivables	158.9	131.7
Settlement assets	2,846.0	2,312.4
Other current assets	37.4	29.8
Cash and cash equivalents	612.3	468.1
	3,654.6	**2,942.0**
Total assets	**4,019.8**	**3,266.5**

€ MILLION	2025	2024
Liabilities		
Settlement obligations	2,846.0	2,312.4
Trade and other payables	92.4	80.3
Lease liabilities	44.1	47.6
Current tax liabilities	31.2	24.7
Other liabilities	58.3	47.8
	3,072.0	**2,512.8**
Equity		
Share capital	120.0	120.0
Share premium	214.6	214.6
Retained earnings	613.2	419.1
	947.8	**753.7**
Total equity and liabilities	**4,019.8**	**3,266.5**

Consolidated cash flow statement

€ MILLION	2025	2024
Profit for the year	220.1	172.5
Depreciation and amortisation	61.8	54.0
Income tax expense	69.5	54.5
Income tax paid	(63.0)	(49.1)
Change in working capital	(14.2)	(9.6)
Share-based payments	11.6	9.8
Net finance income	(21.4)	(12.8)
Interest received	20.4	11.9
Other non-cash items	27.8	13.4
Net cash from operating activities	**312.6**	**244.6**

€ MILLION	2025	2024
Capitalised development	(71.3)	(62.0)
Purchase of equipment	(47.1)	(39.4)
Net cash used in investing	**(118.4)**	**(101.4)**
Dividends paid	(26.0)	(19.5)
Lease payments	(24.0)	(22.8)
Net cash used in financing	**(50.0)**	**(42.3)**
Net increase in cash	144.2	100.9
Cash at 1 January	468.1	367.2
Cash at 31 December	**612.3**	**468.1**

Notes to the financial statements

1. Basis of preparation

These illustrative consolidated financial statements present the results of Meridian Payments and its subsidiaries for the year ended 31 December 2025. They are prepared on a going-concern basis under the historical-cost convention, except for certain financial instruments measured at fair value. All amounts are in millions of euros, rounded to one decimal place; totals may not sum exactly because of rounding.

2. Revenue

Revenue comprises transaction fees, scheme pass-through margins, and fees for value-added services. Transaction fees are recognised when the related payment is settled. Value-added service fees are recognised as the service is delivered; for subscription-priced reconciliation tools this is evenly over the subscription period.

3. Operating expenses

Personnel expenses include share-based payment charges of €11.6m (2024: €9.8m). Technology and infrastructure expenses include hosting, network and software licences; capitalised development costs are excluded and amortised over three to five years.

4. Settlement assets and obligations

Settlement assets represent funds receivable from card schemes and partner banks for payments authorised but not yet cleared. Settlement obligations represent amounts owed to merchants for the same payments. The two are equal at the balance-sheet date because Meridian does not take a position in settlement flows; instant payouts advanced to merchants before clearing are included within settlement assets.

5. Net finance income

Net finance income arises mainly from interest on cash and on safeguarded balances held at partner banks, less interest on lease liabilities of €1.9m (2024: €2.0m).

Notes to the financial statements (continued)

6. Income tax

The effective tax rate was 24.0% (2024: 24.0%). The group operates in eleven tax jurisdictions; no uncertain tax positions are material at the balance-sheet date.

7. Earnings per share

Basic earnings per share is calculated on a weighted average of 120.0 million ordinary shares in issue during the year (2024: 120.0 million). There were no dilutive instruments with a material effect.

8. Dividends

Dividends paid during the year comprise the 2024 final dividend of 11.0 cents per share and the 2025 interim dividend of 8.7 cents per share, a total of €26.0m (2024: €19.5m). The proposed final dividend of 13.0 cents per share is not recognised as a liability at the balance-sheet date.

9. Contingent liabilities

In the normal course of business the group is party to chargeback disputes and merchant claims. Provisions are made where an outflow is probable and can be measured reliably; no individual matter is expected to have a material effect.

10. Events after the reporting period

On 12 February 2026 the group signed an agreement to lease a third data region. The agreement has no effect on the 2025 statements; committed lease payments over the initial ten-year term total approximately €38m.

FIVE-YEAR SUMMARY

2021–2025

€ MILLION UNLESS STATED	2021	2022	2023	2024	2025
Revenue	642.0	781.0	934.0	1,097.3	1,284.6
Operating profit	88.0	121.0	163.0	214.2	268.2
Operating margin	13.7%	15.5%	17.5%	19.5%	20.9%
Profit for the year	64.2	90.1	124.6	172.5	220.1
Earnings per share (cents)	53.5	75.1	103.8	143.8	183.4
Dividend per share (cents)	9.0	12.0	15.0	17.5	21.7
Total payment volume (€bn)	96	128	171	219	276
Transactions (bn)	3.1	4.0	5.2	6.4	7.9
Colleagues (year end)	1,980	2,240	2,610	3,000	3,420
Settlement availability	99.981%	99.987%	99.991%	99.994%	99.995%

REFERENCE

Glossary

Account-to-account (A2A)

A payment made directly from a payer's bank account to the payee's, without a card scheme in between.

Acquirer

The institution that accepts card payments on behalf of a merchant and settles funds to it.

Availability

The share of time the settlement service is able to accept and process payments within its stated latency.

Clearing

The exchange of payment information between institutions that determines what each owes the other.

Instant payout

Payment of settled funds to a merchant within minutes, before clearing completes, with Meridian carrying the interval.

Net promoter score

A measure of how likely customers are to recommend us, from −100 to +100.

Settlement

The point at which funds actually move and an obligation is discharged.

Settlement assets

Funds due to Meridian from schemes and banks for payments not yet cleared.

Scope 1, 2, 3

Categories of greenhouse-gas emissions: direct, from purchased energy, and across the value chain.

Total payment volume (TPV)

The total value of payments settled through the Meridian network in a period.

Voluntary turnover

Colleagues who chose to leave during the year, as a share of average headcount.

MERIDIAN PAYMENTS

This is an illustrative annual report for a fictional company, written as a test document. All names, figures and events are invented.

investors@meridian.example.com · www.example.com